

# Roll out the personalized roaming prompt to unlock CHF 4.7M annual margin with no guardrail breach.

- A customer-level randomized A/B test on 60,000 synthetic Sunrise app customers shows a conversion lift of **1.10 pp**.
- CUPED estimates **CHF 0.13** incremental margin per eligible customer per 14 days, with a 95% CI of **CHF 0.06 to CHF 0.21**.
- Recommendation: launch through a monitored 25% ramp, then scale to all eligible app customers if guardrails remain green.

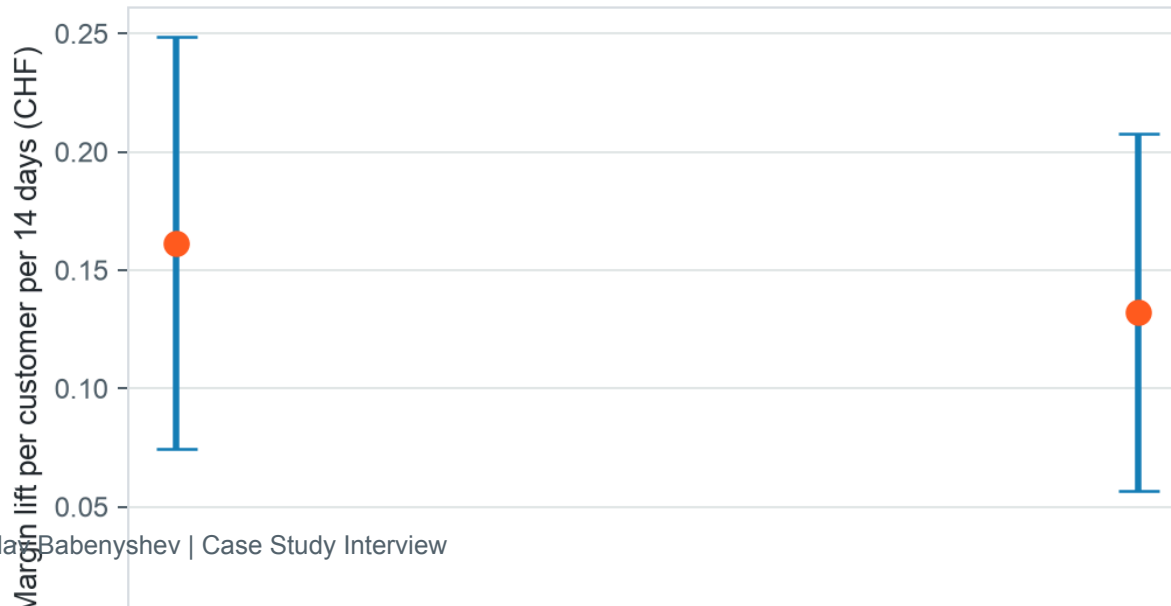
# The business request was translated into a randomized revenue-and-experience decision framework.

| Design choice        | Specification                                                    |
|----------------------|------------------------------------------------------------------|
| Stakeholder decision | Ship, iterate, or stop a personalized roaming-pack prompt        |
| Randomization unit   | Customer, assigned 50/50 to control or treatment                 |
| Target population    | Eligible Sunrise mobile-app customers before summer travel       |
| Primary metric       | 14-day roaming-pack conversion rate                              |
| Business metric      | 14-day gross margin CHF per customer                             |
| Decision rule        | Significant conversion and CHF lift, with all guardrails passing |

# CUPED is the right method because pre-period roaming spend explains margin variation without changing randomization.

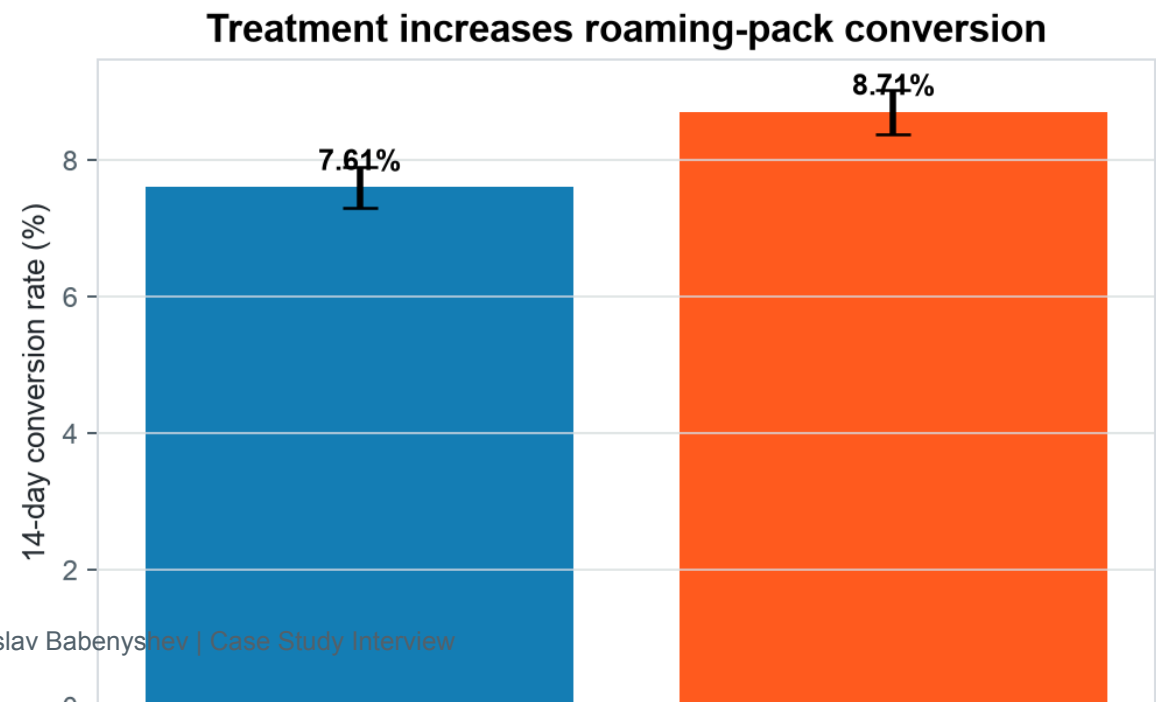
- Standard conversion test: two-sided difference in proportions at  $\alpha = 5\%$ .
- CHF estimate: Welch mean difference on margin, plus CUPED using pre-period roaming revenue.
- Rigor: customer-level randomization avoids pre/post bias; balance checks reduce sample-selection risk; guardrails prevent revenue-only launch logic.

**CUPED tightens the CHF margin estimate**



# The treatment creates CHF 4.7M expected annual margin versus the current app experience.

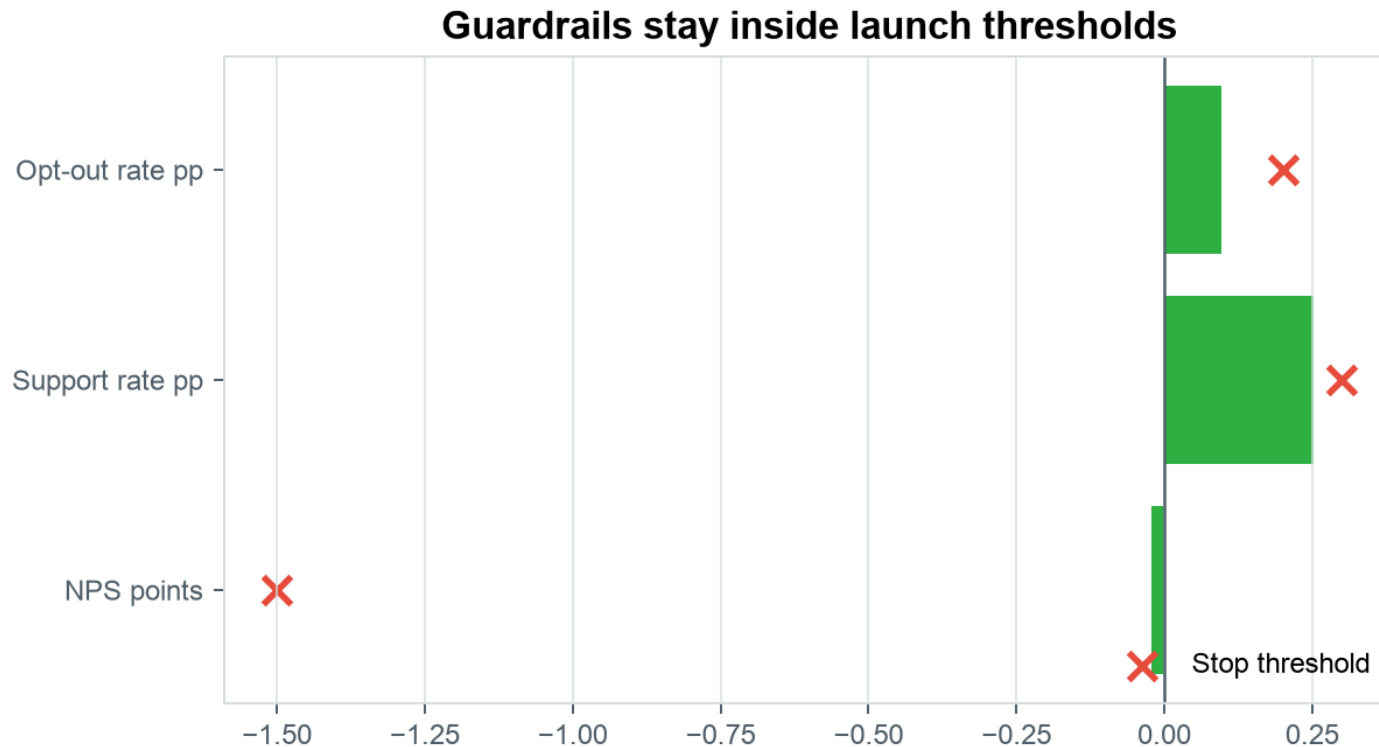
| Scenario               | Conversion | Margin lift               | Annualized margin |
|------------------------|------------|---------------------------|-------------------|
| Current app experience | 7.61%      | CHF 0.00                  | CHF 0.0M          |
| Personalized prompt    | 8.71%      | CHF 0.13 / customer / 14d | CHF 4.7M          |
| Conservative CI floor  | +0.66%     | CHF 0.06 / customer / 14d | CHF 2.0M          |



# A one-week ramp is sufficient to validate production performance before full scale.

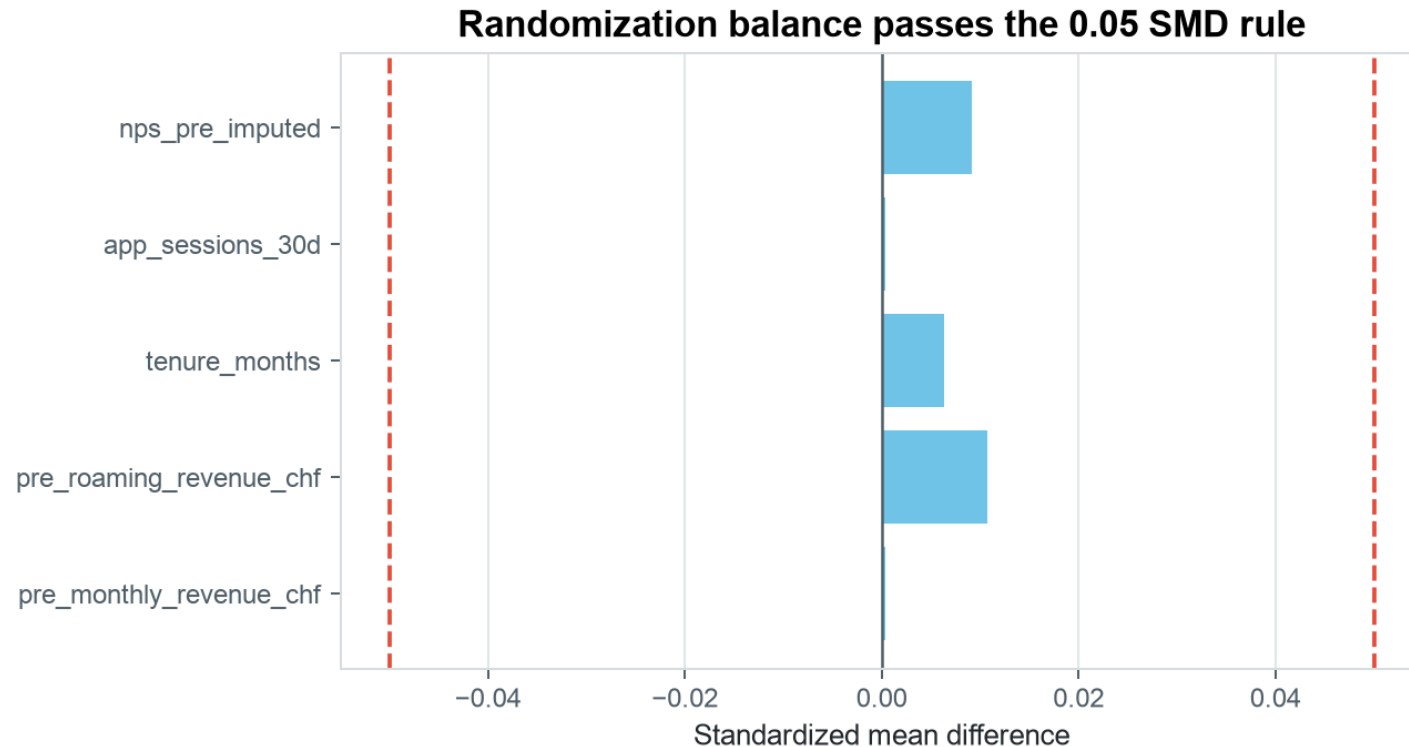
| Launch control        | Requirement                                                      |
|-----------------------|------------------------------------------------------------------|
| Power design          | 30,655 customers per group to detect a 0.6 pp MDE                |
| Traffic assumption    | 8,500 eligible customers per day                                 |
| Minimum test duration | 8 days for a fully powered confirmatory read                     |
| Ramp proposal         | 25% for one week, 50% for one week, then 100% if guardrails pass |
| Guardrails            | NPS, support contacts, and app opt-outs monitored daily          |

# Customer-experience guardrails stayed green, so the next decision is operational rollout approval.



- NPS difference stayed inside the -1.5 point stop threshold.
- Support contact and app opt-out differences stayed below their rate thresholds.
- Retain a 5% post-launch holdout for four weeks to measure persistence and seasonality.

# Appendix: Randomization balance supports a causal read of the treatment effect.



- All audited pre-treatment covariates are inside the absolute  $SMD < 0.05$  balance rule.
- Balance was checked before outcome analysis to avoid tuning the design after seeing results.

# Appendix: CUPED variance reduction increases precision without changing the estimand.

| Diagnostic           | Result   |
|----------------------|----------|
| CUPED theta          | 0.245    |
| Standard margin lift | CHF 0.16 |
| CUPED margin lift    | CHF 0.13 |
| Variance reduction   | 25.2%    |
| CUPED p-value        | 5.85e-04 |

- Pre-period roaming revenue is measured before randomization, so it improves precision without absorbing treatment impact.



# Appendix: The project artifacts provide a reproducible audit trail for review and rerun.

```
graph LR
  A[Raw mock source tables] --> B[Joined analysis table]
  B --> C[Balance and missingness checks]
  B --> D[Conversion test]
  B --> E[CUPED margin test]
  B --> F[Guardrail tests]
  C --> G[Notebook audit trail]
  D --> H[Executive deck]
  E --> H
  F --> H
```

- Notebook: `notebooks/ab-test-mock-data.ipynb`
- Source and processed artifacts: `notebooks/ab-test-mock-data/`
- Stakeholder deck: `docs/ab-test-mock-data/deck.md`